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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

COMMERCE **7100/01**

Paper 1 Multiple Choice October/November 2007

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

4097020967

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

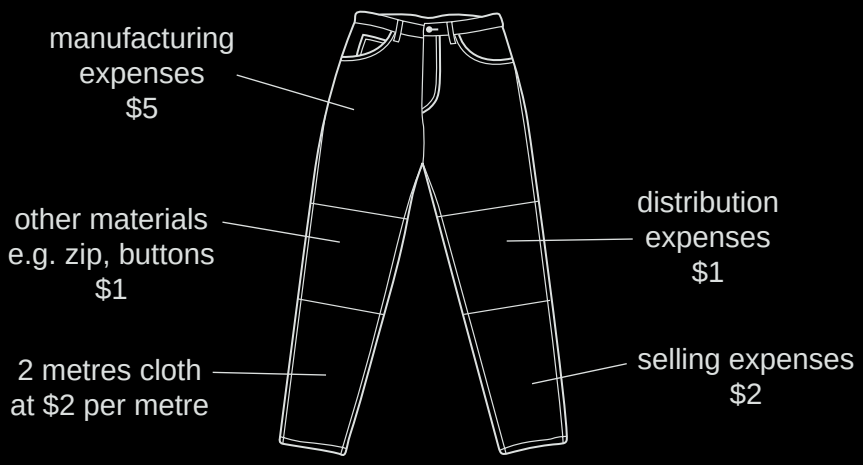
There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.
The businesses described in this question paper are entirely fictitious.

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How much value is added to the two metres of cloth at the secondary stage of production?

A $5 **B** $6 **C** $9 **D** $11

3 What is the purpose of trade?

A to buy and sell goods and services for profit

B to convert new materials into finished goods

C to distribute surplus goods from producer to consumer

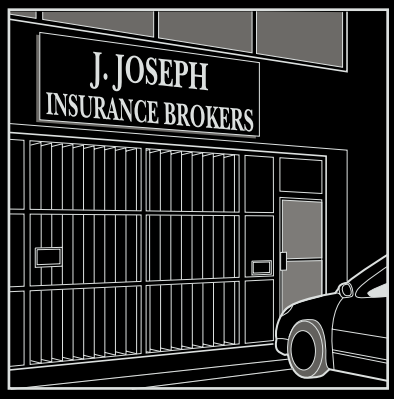
D to provide goods to satisfy human wants

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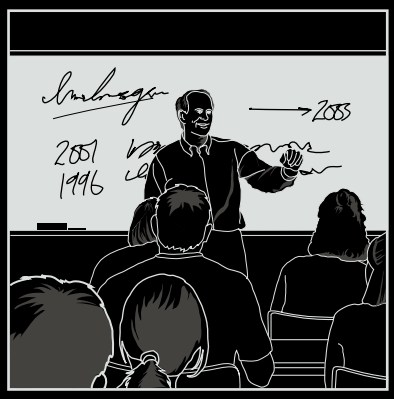
A



B



C



D



5 Why do so many people set up small retail businesses?

A A small amount of money is needed to start trading.

B Banks will lend to retailers without security.

C It is easy for retailers to make large profits.

D Many people are trained in shop management.

6 How do retailers assist wholesalers?

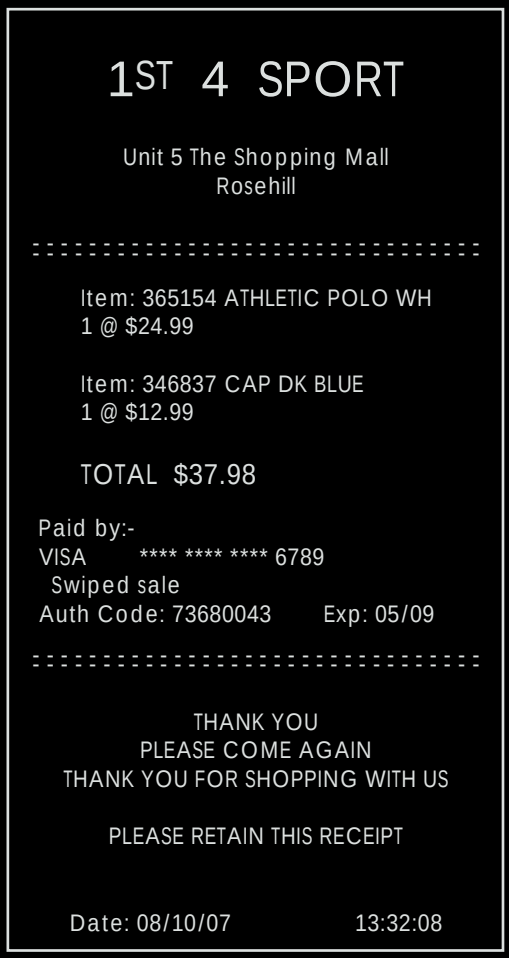
A giving information on new goods available

B offering advice on the use of goods

C paying in advance

D providing information on goods demanded

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1ST 4 SPORT

Unit 5 The Shopping Mall
Rosehill

Item: 365154 ATHLETIC POLO WH
1 @ $24.99

Item: 346837 CAP DK BLUE
1 @ $12.99

TOTAL $37.98

Paid by:-
VISA **** **** **** 6789
Swiped sale
Auth Code: 73680043 Exp: 05/09

THANK YOU
PLEASE COME AGAIN
THANK YOU FOR SHOPPING WITH US

PLEASE RETAIN THIS RECEIPT

Date: 08/10/07 13:32:08

What kind of terminal would produce this receipt?

A automatic teller machine (ATM)

B digital billboard

C electronic point of sale (EPOS)

D point of sale

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ORION BANK

STATEMENT OF ACCOUNT

MRS E. BULLER
80 FISH STREET
MALÉ
MALDIVES

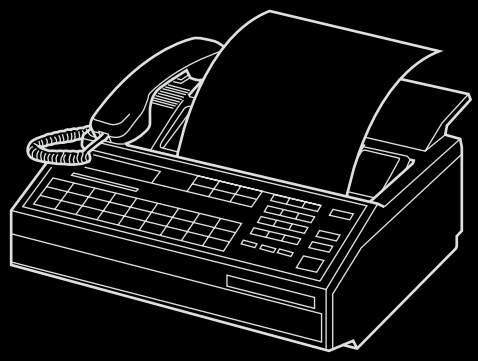
Branch Code	86-06-68
Account No	00565257
Date	8.10.07

Date	Description	Withdrawals $	Credits $	Balance
2007	BALANCE			1015
4 SEP	CHEQUE 034563	15		1000
6 SEP	INSURANCE	25		975
7 SEP	GAS	100		875
14 SEP	SALARY		1000	
18 SEP	TOP SHOES	400		

What is the balance on 18 September?

A $275 **B** $1475 **C** $1875 **D** $2275

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Which method of communication is it?

A email

B fax

C intercom

D telephone

20 A parcel is sent by ordinary post.

On what is the charge based?

A bulk

B shape

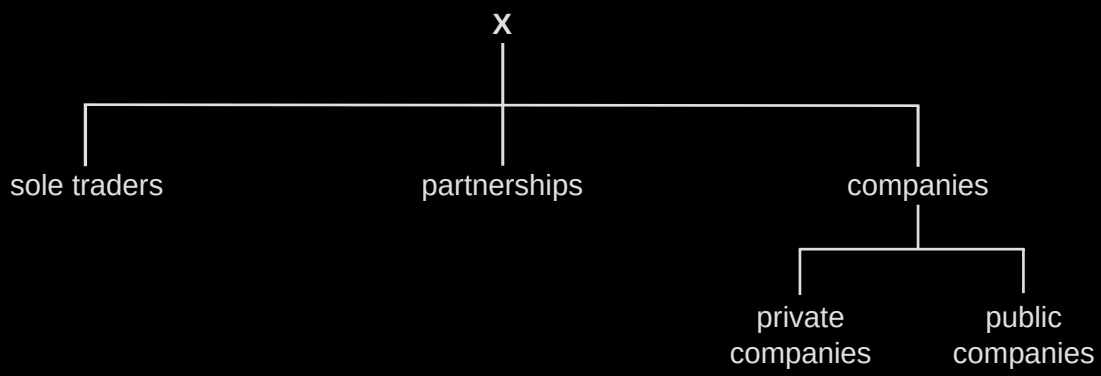
C value

D weight

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What does **X** represent?

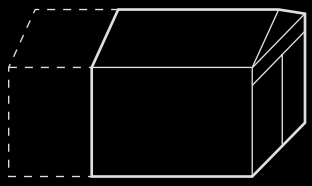
A government

B private enterprise

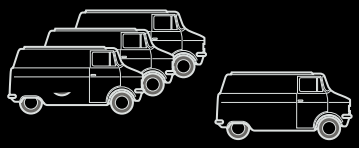
C public corporation

D public enterprise

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enlarge the existing warehouse



buy an additional delivery van

Which source of finance is suitable to cover the cost of **both** of these ways of expansion?

A bank loan

B mortgage

C ordinary shares

D trade credit

37 What forms part of a farmer's fixed assets?

A cash

B cattle feed

C fertiliser

D tractors

38 Mrs Singh runs a general store. She gave the following figures to her accountant.

	$
opening stock at cost	10 000
closing stock at cost	20 000
cost price of sales	30 000

What is Mrs Singh's rate of turnover?

A 1 **B** 1.5 **C** 2 **D** 3

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